

ECONOMY

LECTURES



INDIAN ECONOMY 1947 TO 1990... PART 1

MODULE - 8

ECONOMY

ECONOMIC SYSTEM

1

CHOICE OF PRODUCTION

What goods and services should be produced in the country?

2

CHOICE OF TECHNOLOGY

How the Goods and Services be produced, whether the production should involve more human labour or more capital for producing the things?

3

DISTRIBUTION OF GOODS AND SERVICES

How the produced Goods and Services be distributed among the people?

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ECONOMIC SYSTEM

SOCIALIST

- ✓ Goods to be produced based on the needs of society
- ✓ How goods are to be produced and how to distribute will be decided by the Govt.
- ✓ Red-tapism (excessive regulation, which delays the things) and corruption are the predominant drawbacks
- ✓ Prime goal is equitable distribution of income

CAPITALIST

- ✓ Based on market forces of demand and supply
- ✓ Profit is the motto
- ✓ Production will be as per demand
- ✓ It is also called laissez faire or free market economy
- ✓ It results in unequal distribution of income
- ✓ Government's intervention will be less
- ✓ Purchasing power will decide the type of goods to be produced

MIXED

- ✓ Public sector and private sector exist side by side
- ✓ Private sector will provide goods and services it can provide, but essential goods will be provided by the State
- ✓ It aims balanced development
- ✓ But, corruption is the biggest problem and efficiency of public enterprises is another concern

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SOCIALIST



CAPITALIST



MIXED





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MIXED ECONOMY

MERITS



- This ensures stable and **balanced development**.
- Competition between **private sector** and **public sector** leads to enhanced productivity.
- It gives **proper scope** to **private individuals** to co-exist and **contribute** towards economic development.
- It is **imperative** for **developing countries** where market forces cannot provide all the goods and services.
- It is too important, when a country is predominantly **rural and agrarian based**.

DE-MERITS



- It cannot effectively **control** the **private sector industries**, which are outside the government purview.
- In public sector, **higher degree of corruption and red-tapism** exists.
- Sometimes public sectors will be decimated because of **vested interests** by corrupt officials.
- There is concentration of economic power in few hands of politicians and bureaucrats.
- The overall concept of mixed economy **gets defeated**, when vested interests pervade the system.



PUBLIC SECTOR AND PRIVATE SECTOR



PUBLIC SECTOR



TATA CONSULTANCY SERVICES



PRIVATE SECTOR

PLANNING COMMISSION



Established in 1950



Jawaharlal Nehru

India started Planning Commission in 1950 and first five year plan was introduced in April, 1951.

MAIN OBJECTIVES OF OUR FIVE YEAR PLANS

1 GROWTH

- This is the objective to increase country's capacity to produce the output of goods and services within the country.

2 MODERNIZATION

- This is basically adoption of new technology.
- This is done with an aim to increase the production of goods and services.
- This not only refers to change in production methods but also change in the social outlook of the society by granting equal status to women and making use of their talent in the production process.

3 SELF-RELIANCE

- The first seven five year plans gave importance to self-reliance by restricting imports.
- This was considered necessary in order to reduce our dependence on foreign countries, especially for food.

4 EQUITY

- This refers to reduction in disparity of income or wealth by uplifting weaker sections of the society.
- The basic idea is that every Indian should be able to meet his/her basic needs, such as food, decent house, education, healthcare etc.

1 GROWTH



2 MODERNIZATION



3 SELF-RELIANCE



4 EQUITY



???

AN OVERVIEW OF PLANNING PROCESS : 1950 -1990

ACHIEVEMENTS



- Increase in National Income
- Increase in Per Capita Income
- Raise in rate of capital formation
- Creation of economic infrastructure
- Creation of Social infrastructure
- Employment to some extent

However, the average growth of GDP was around 3% during the first 30 years after Independence

FAILURES



- Public sector industries incurred huge losses and that was the biggest failure
- Foreign exchange reserves depleted to the lowest ever levels
- Unemployment compounded the problem and it became big crisis.
- Too much centralization resulted in planning process, sometimes away from ground realities.
- Corruption and red-tapism

1 CHANGES IN AGRICULTURE SECTOR : 1950 - 1990

LAND REFORMS

1 ABOLITION OF INTERMEDIARIES

- More than 200 lakh tenants were freed from exploitation and ownership was conferred on tenants.
- This gave them the incentive to increase output.

However, former Zamindars exploited the loopholes and landless labourers were not benefited

2 REGULATION OF RENT

- After independence almost all the states enacted laws for fixing the rent payable by the tenant cultivators.
- Each state has a different rent structure, which varies from 25% to 40%.
- The tenants can not be evicted as per the law

However, in most of the cases, the law remained only on paper

3 LAND CEILING

- It is the maximum size of land holding that an agricultural household can own.
- The surplus land is acquired and distributed among poor farmers. This is to reduce the concentration of land ownership in a few hands.

However, this was successful only in states like WB, Kerala etc.

4 COOPERATIVE FARMING

- This is encouraged to further consolidate the gains.
- It is encouraged to enhance bargaining power of the small holders in the competitive marketing structure.

However, it resulted only in marginal improvement

1

ABOLITION OF INTERMEDIARIES



2

REGULATION OF RENT



3

LAND CEILING



4

COOPERATIVE FARMING



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GREEN REVOLUTION



GREEN REVOLUTION

It is increasing the yield with the combination of HYV seeds, irrigation, chemical fertilisers, pesticides etc.

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HYV SEEDS



HYV SEEDS

- High Yielding Variety (HYV) seeds are developed by the scientists to improve food supplies and reduce famine in developing countries
- They require irrigation facilities, more chemical fertilisers as well as pesticides



GREEN REVOLUTION



TWO DISTINCT PHASES

PHASE - I

- From mid 60s to mid 70s - use of HYV seeds
- Irrigated states like Punjab, Andhra Pradesh, Tamil Nadu were benefitted
- Wheat and rice were predominantly benefitted

PHASE - II

- Mid 70s to 80s HYV technology spread to a large number of states
- Benefitted more variety of crops

GREEN REVOLUTION - ADVANTAGES

1



Self-reliance in food grains
& country became food
secure

2



Raising farmers incomes

3



The need to change land use
to agriculture was minimised

GREEN REVOLUTION - DISADVANTAGES

1



Not reached all the regions,
only areas with assured
irrigation are benefitted

2



Ground water table has
gone down

3



Loss of soil fertility due to
excessive use of fertilisers

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GREEN REVOLUTION

ACHIEVEMENTS OF GREEN REVOLUTION



- 1 The crop productivity has increased substantially.
- 2 India became self sufficient in food grain production.
- 3 India also became an exporter of Agricultural produce.
- 4 Gross area under cultivation raised significantly.
- 5 Because of use of fertilizers as well as HYV varieties, several areas came under double crops in a year.
- 6 Increase in productivity has led to the emergence of marketable surplus.
- 7 Raising incomes of farmers resulted in children to take up higher education.



GREEN REVOLUTION



FAILURES OF GREEN REVOLUTION

- 1 It was confined to the production of predominantly wheat and rice only.
- 2 It did not cover pulses and progress in major commercial crops like cotton, jute, oilseeds also remained very low.
- 3 Only benefitted certain areas. Hence, regional inequalities increased.
- 4 Mostly big farmers benefitted from the application of new technology and it also resulted in inequality among the farmers.



GREEN REVOLUTION



FAILURES OF GREEN REVOLUTION

- 5 Increase in farm machinery led to surplus labour in agriculture sector.
- 6 Because of higher use of fertilizers, pesticides, several adverse effects we have seen, not only on land but also on environment.
- 7 Rich landlords became further rich and poor farmers became poorer.

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